Surveillance of Members' Economic Policies: nations who are members agree to pursue economic policies that are consistent with the objectives of the IMF and the articles of agreement confer on the IMF the legal authority to oversee compliance with this obligation which makes the IMF the only Organisation that has the mandate to examine regularly the economic conditions of virtually all countries in the world.

Financing Temporary Balance of Payment Needs: in order to enable countries to make orderly corrective measures and avoid disorderly adjustment of the external imbalance, the IMF lends to its member countries to provide a temporary respite from balance of payments. In addition to providing direct funding to member countries, the IMF also plays a catalytic role in mobilizing external financing for countries' balance of payment needs.

Combating Poverty in Low Income Countries: The IMF provides low-income member countries with concessional loans to help these countries in their efforts to eradicate poverty. In this endeavour, the IMF works closely with the World Bank and other development partners. In addition, the IMF participates in two international initiatives to provide debt relief (i) Heavily Indebted Poor Countries (HIPC) and (ii) Multilateral Debt Relief Initiative (MDRI).

Mobilizing External Financing: The IMF's endorsement of a countries policies serve as an important catalyst in mobilizing external funding from bilateral and multilateral lenders and donors. Policy assessments and recommendations of the IMF also provide important signals to investors and financial markets regarding a country's economic future and the impact on investor and market confidence in the economy.

Strengthening the International Monetary System: Being the central institution in the international monetary system, the IMF serves as a forum for consultation and collaboration by members on international and monetary matters. It works with other multilateral institutions to devise international rules that would help prevent and promote an orderly resolution of international economic problems.

Increasing the Global Supply of International Reserves: If there is a global need to supplement existing reserves, the IMF has the authority to issue an international asset called the Special Drawing Right (SDR). These SDRs belong to the net international reserves of members and can be exchanged for convertible currencies.

Building Capacity Through Technical Assistance and Training: The IMF with its expertise provides training and technical assistance for member countries to design economic policies and improve economic management capabilities. This helps in reduction of policy failures and resilience to shocks and facilitates program design and implementation. These activities are important particularly for developing countries where resources are scarce and institutions are often weak.

Dissemination of Information and Research: The IMF is a premier source for Economic analysis of its member countries' economic policies and statistical information. The IMF disseminates information through numerous reports, research studies and specialized statistical publications. It also conducts research in areas that are in accordance with its mandate and operations mainly to improve its economic analysis and its advice to

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